UNIVERSITY OF GALWAY
SMF

Beyond The Curve:
Macroeconomic Insights Edition for 2025

Student Manged Fund
Macro-Economic Journal

Published on 12/01/2026

Edited by Raife Nichols

Research Analysts:
Tiernan Collins, Vikktoria Sharapova,
Luke Surge, Adrian Feeley, Charlotte Conneely,
Matthew McCutcheon & Raife Nichols

UNIVERSITY OF GALWAY
SMF

Table of Contents

Forward from Chief Macro-Strategist……....3

The Challenge to U.S. Economic Dominance……....4

The Modern Safe Haven Dilemma……6

TSMC and the World's Tech Dependency……8

State-Backed Equity and Market Manipulation……11

Artificial Intelligence & the Productivity Puzzle……..13

Dynamic Pricing and Ethical Regulations……16

The Art of Consolidation……..19

The Challenge of Healthcare Inflation……..25

Disclaimer: The content of this publication is intended solely for academic and informational purposes and does not constitute financial, investment, legal or professional advice. The views expressed are those of the authors and do not necessarily reflect the positions of *University of Galway* or its affiliates. While efforts have been made to ensure accuracy, no guarantee is provided, and neither the authors nor the university accept any liability for actions taken based on this material. Readers should seek independent professional advice before making any financial or investment decisions.

Foreword from the Chief Macroeconomic Strategist

We are honoured to announce the inaugural edition of the Student Managed Fund (UGSMF) journal, *Beyond the Curve*. The release of this first publication represents a defining milestone for the Fund, marking the culmination of collective ambition, intellectual rigour and a shared commitment to purposeful value creation.

Within this edition, each contribution examines themes shaping the global financial landscape, including macroeconomic uncertainty, technological disruption and the growing prominence of sustainable investment practices. The analyses presented reflect the intellectual depth and professional discipline of our analysts, who consistently seek to navigate complexity with clarity and conviction.

In an era characterised by heightened market volatility and structural transformation, the ability to think independently and act with informed precision has never been more essential. The Fund remains committed to developing these capabilities, fostering ethical responsibility, promoting long-term vision and cultivating a new generation of analysts and leaders grounded in analytical excellence.

As Chief Macroeconomic Strategist, I have had the privilege of leading the research of the inaugural edition of *Beyond the Curve*. In this role, I guided the development of the Fund's macroeconomic framework, shaped thematic analysis and encouraged rigorous examination of underlying assumptions to ensure coherence and depth across all contributions. Through structured discussion and collaborative inquiry, analysts engaged critically with global economic developments and translated macroeconomic insight into informed investment perspectives.

Beyond the Curve is therefore more than a compilation of research; it reflects the analytical discipline, intellectual curiosity and strategic outlook cultivated within the Student Managed Fund. The work presented demonstrates our analysts' ability to integrate diverse viewpoints, navigate uncertainty with clarity and apply macroeconomic reasoning to contemporary financial challenges.

On behalf of the executive committee of the Student Managed Fund (UGSMF), I extend my sincere appreciation to our contributors, mentors and faculty advisors whose guidance and dedication made this publication possible. *Beyond the Curve* stands as both a reflection of our collective achievement and an expression of our enduring commitment to insight, innovation and integrity in finance.

Thank you to the University of Galway and our sponsors for their continued support and guidance.

Sincerely,
Raife Nichols
Chief Macroeconomic Strategist (CMS)
University of Galway Student Managed Fund

The Challenge to U.S. Economic Dominance: A Hegemony in Flux

Author: Tiernan Collins

Introduction

Since the mid-20th century, the United States (U.S.) has been a central leader in the global economy. With "*risk-free*" treasuries, a plethora of Multinational Corporations (MNC's) and the dollar serving as the world's reserve currency, the United States continues to have a monumental impact on technology, finance and culture itself. However, in recent years, this dominance is failing to prevail against increasing debt and cost of living crises. Moreover, global counterparts, such as China and BRICS, are accelerating their respective campaigns and amplifying pressure on the U.S. market. As a result, recent behaviours exhibited by the U.S. may be interpreted as risk-seeking, in an attempt to maintain their potentially fading status as the central global superpower. In terms of the Prospect Theory (Kahneman & Tversky, 1979), the U.S. could be characterised as operating from the loss domain.

Mounting Economic Pressure

As of 2025, federal debt exceeds $37 trillion (U.S. Treasury, 2025) and annual interest costs are projected to surpass military spending within the decade; the fiscal position of the U.S. is becoming more precarious. In direct correlation, rising yields have created a destabilising feedback loop, whereby higher borrowing costs add to deficits and then require further debt issuance. Thus, the U.S. has received several credit downgrades by rating agencies. As per Moody's and Fitch Ratings, reviews cited the failure of successive administrations in managing deficits and interest costs, which raises concerns regarding the U.S. government's ability to honour their debts (Ahmadi, 2025).

Additionally, currency debasement has become of major concern. Due to a series of quantitative easing, pandemic-era stimulus and deficit monetisation, the money supply has expanded at a pace unprecedented in modern history (J.P. Morgan, 2025). Whilst providing short-term relief during a period of uncertainty, the aforementioned actions may have illegitimised the strength of the U.S. dollar and significantly undermined confidence of the long-term positioning of the currency.

Furthermore, the erosion of U.S.-based manufacturing has added to market instability. With a rise of globalisation, vast segments of industrial capacity have been offshored; therefore, the U.S. has become increasingly reliant on global supply chances, which may be inconsistent at crucial times as demonstrated by the semiconductor industry (Simchi-Levi, Zhu and Loy, 2022). The U.S. reliance on imports highlights a vulnerability that rivals are keen to capitalise on.

Risk-Seeking Behaviour

Prospect Theory indicates actors who are facing losses are likely to assume greater risks in order to recover any losses or what may be perceived as losses (Kahneman & Tversky, 1979). In application, recent U.S. sentiment and policy under the Trump administration reflects the risk-seeking behaviour and demonstrates a sense of urgency.

- Tariffs and Protectionism: Despite the risks of increasing consumer prices and the potential retaliation or reduced engagement by foreign trade partners, the implementation of significant global tariffs aimed at strongarming manufacturers to relocate their industrial base domestically suggests a willingness to participate in unconventional and high-risk policy to regain strategic control over foreign equivalents.

- Bitcoin and Strategic Assets: Recent proposals for a '*Bitcoin Reserve Act*' and investments into digital assets illustrate the U.S. government's disposition towards unorthodox hedges against mounting debt and dollar debasement. If Bitcoin should be classified as a strategic reserve, comparable to gold, this could signal a substantial departure from traditional policy and reflect a readiness to embrace volatility and infrastructural adaptation in pursuit of long-term resilience.

- Abandoning Inflation Targets: The Federal Reserve's shift from a rigid adherence to the 2% inflation target towards a more "*flexible*" framework is indicative of a willingness to trade policy credibility for monetary latitude and reduced scrutiny. While such moves allow for less strict monetary conditions, the government risks further undermining investor confidence in the U.S. economy and in the dollar as a stable store of value (Pompliano, 2025).

- Industrial Intervention: The U.S. government's 10% acquisition of Intel marked a significant deviation from its traditional free-market and privatised principles. The stake in Intel is passive; however, by directly investing into critical infrastructure and productive capacity within a fundamental industry, the government has demonstrated the potential influence of state involvement in strategic sectors, setting a precedent that blurs the line between private enterprise and government control (Zurcher, 2025).

Global Implications

As discussed, the dynamics carry profound implications regarding how markets and geopolitics are perceived. The U.S. dollar, while remaining the global reserve currency, faces gradual degradation as countries diversify their reserves. Treasuries, traditionally recognised as the ultimate safe asset, offer high yields but are confronted with growing sustainability concerns. In parallel, attempts by the U.S. to leverage trade finance through sanctions has accelerated the search for alternatives among rivals. For investors, these developments create an environment of increased volatility, less predictable policy and uncertain trends, which makes diversification across markets and asset classes paramount.

Conclusion

The United States shall not vanish as the world's leading superpower. Its economy remains the global leader by a vast margin, and the dollar continues to be deeply intertwined with all aspects of international finance. However, the behaviour the U.S. exhibits today, particularly under the current administration, reflects an awareness of vulnerability. Moreover, this behaviour highlights the necessity of promoting domestic innovation intended to maintain their global dominance, while balancing the inherent risks of such policies. Irrefutably, the success or failure of this risk-seeking behaviour, whether in restoring confidence or amplifying vulnerabilities, will decisively shape the global economic landscape over the coming decade.

References

• Ahmadi, A.A. (2025) US loses last perfect credit rating amid rising debt. *BBC News*. Available at: https://www.bbc.com/news/articles/c4ge0xk4ld1o.

• FreePik. (2023). Still life of dollar coins scattered | Free Photo. *FreePik*. Available at: https://www.freepik.com/free-photo/still-life-dollar-coinsscattered_66069131.htm#fromView=search&page=1&position=13&uuid=5dd58c15-b3b1-4f54-baa3-b1ef43b6df8e&query=united+states+financial.

• J.P. Morgan (2025) De-dollarization: Is the US dollar losing its dominance? *Global Research*. Available at: https://www.jpmorgan.com/insights/global-research/currencies/de-dollarization.

• Kahneman, D. and Tversky, A. (1979) 'Prospect theory: An analysis of decision under risk', *Econometrica*, 47(2), pp. 263–291.

• Pompliano, A. (2025) Did the Federal Reserve abandon their 2% inflation target? *The Pomp Letter*. Available at: https://pomp.substack.com/p/did-the-federal-reserve-abandon-their.

• Simchi-Levi, D., Zhu, F. and Loy, M. (2022) Fixing the U.S.. semiconductor supply chain. *Harvard Business Review*. Available at: https://hbr.org/2022/10/fixing-the-u-s-semiconductor-supply-chain.

• U.S.. Department of the Treasury (2025) What is the national debt? *Fiscal Data*. Available at: https://fiscaldata.treasury.gov/americas-finance-guide/national-debt/.

• Zurcher, A. (2025) Trump's brand of US capitalism faces 'socialist' backlash from conservatives. *BBC News*. Available at: https://www.bbc.com/news/articles/cn85n2vg04go.

Gold vs. Bitcoin: The Modern Safe Haven Dilemma

Author: Vikktoria Sharapova

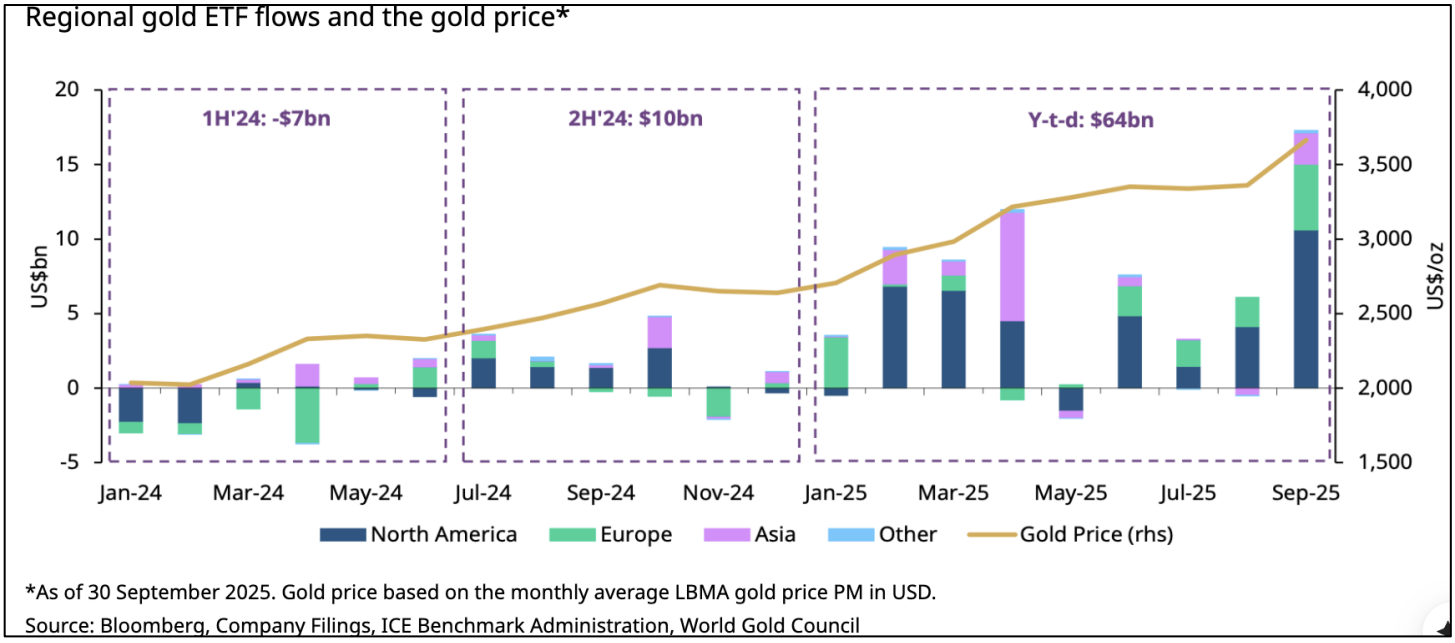
Introduction: The New Competitor

Due to the volatile nature of the current market, Bitcoin (BTC) and Gold have reached all-time highs as of 2025. With trade tensions rising, deficits widening and the U.S. Federal Reserve slashing rates, investors are favouring "*safe haven*" assets; however, despite gold remaining as the optimal hedge, Bitcoin has emerged as its digital rival. As illustrated by Trading Economics (2025), gold has risen by approximately 56% while Bitcoin has surged by 60% this year. Therefore, such momentum reflects a broader shift in market sentiment and how investors are seeking assets that tend to appreciate when confidence in fiat money weakens.

Gold: The Old Faith

The current rally in gold is built on confidence, not speculation. Central banks have been expanding their gold reserves at an exceptionally rapid pace. As demonstrated by recent activity in Poland and China, their reserves increased by 18.66 tonnes and 6.22 tonnes respectively in Q2 2025 (World Gold Council, 2025), which signals hedging against the potential downside-risk of the U.S. dollar. Furthermore, the Federal Reserve has cut rates by 25 basis points, and investors expect at least two additional downward adjustments by year-end (Yahoo Finance, 2025). Polymarket, a cryptocurrency prediction platform, assigned a 95% probability of another cut at the Federal Open Market Committee (FOMC) meeting in October. Since gold retains its real value during inflation or policy uncertainty, lower but consistent yields of traditional “safe haven” assets reinforce how gold is perceived as a risk-averse and attractive investment.

Moreover, gold ETFs continue to receive attention and increased inflows, stimulated by institutional investors rather than retail buyers (World Gold Council, 2025). If the Federal Reserve implements a more forceful rate cut, gold shall likely push higher than expected. With growing concerns regarding the Federal Reserve’s independence, rising deficits and strength of the dollar, investors recognise gold as a dependable store of value and a formidable loss-prevention strategy more than ever.



Source: World Gold Council, 2025

Bitcoin: The Digital Challenger

Bitcoin is regularly described as "Digital gold," and such a comparison does highlight the similarities between the two alternative investments. As with gold, Bitcoin is scarce and decentralized; BTC has a fixed supply of 21 million coins. Additionally, the success of Bitcoin is largely attributable to the market sentiment and belief surrounding it. The currency relies on the “Tinkerbell Effect,” a theory that indicates value is derived from the collective belief in it. Thus, this requisite continues to fuel a radical growth and hyper-inflated narrative.

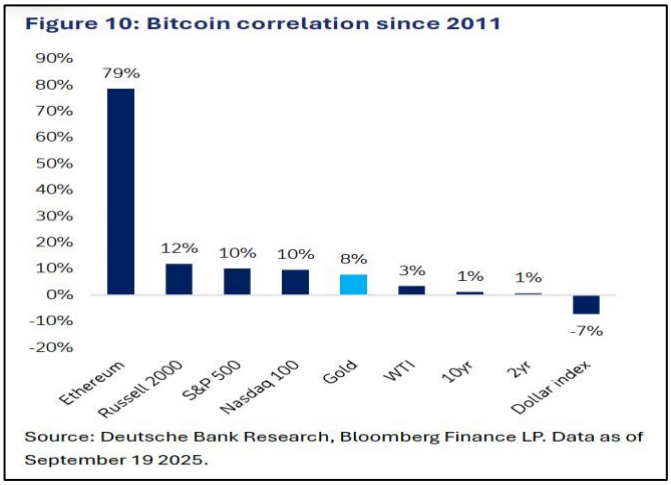
Cohesively, institutional and sovereign interest developed in 2025. MicroStrategy invested in 168 BTC, which increased their total holdings to over 640,000 BTC worth approximately $71 billion (CoinCentral, 2025). More notably, leading countries have begun accumulating BTC on a global scale; yet, it is essential to acknowledge the largest government holdings were obtained through criminal asset confiscations, as opposed to purchasing the Bitcoin (Binance, 2025).

Source: Binance, 2025

Despite the government “*owning*” BTC, they have neither control, authority nor total ownership of the Bitcoin market. Thus, independence from government intervention is one of Bitcoin’s greatest strengths. Amid rising geopolitical tensions, this advantage is becoming more attractive to nations. Central banks realise the value of adding BTC to their reserves as strategic diversification against the weakening dollar. For instance, Ukraine recently passed legislation, through the Verkhovna Rada, allowing its National Bank to hold Bitcoin in reserves (Bitcoin Magazine, 2025).

Flows and Market Momentum

As of 2025, Bitcoin inflows hit a record $59.5 billion due to investors seeking protection from policy and inflation risks (Reuters, 2025), which inherently pushed prices higher. Thus, the drastic shift towards Bitcoin highlights the growing acceptance of BTC as a modern alternative to gold. Historically, BTC’s correlation with the S&P 500 has been significantly low, offering the opportunity of diversification (Deutsche Bank Research, 2025). Yet, 2025 has challenged that assumption, as institutional leverage and ETF driven flows have linked Bitcoin more closely to broader risk sentiment.



Source: Deutsche Bank Research, 2025

Conclusion: When Diversification Fails

On October 10th, 2025, the U.S. announced 100% tariffs on Chinese imports. As a result, markets sold off sharply, the S&P 500 fell 2.7%, bitcoin suffered more than $19 billion in liquidations, and prices tumbled 14% in one day (Reuters, 2025). In the days following, Bitcoin ETFs also recorded $536 million in outflows on October 16th, 2025. This marked the largest single-day outflow since August 2025 (CoinDesk, 2025), and revealed BTC's vulnerability to intense market stress compared to traditional assets.

Overall, the aftermath of the severe tariffs imposed by the current U.S. administration conveys a critical aspect of Bitcoin's behaviour; BTC is heavily dependent on market conditions and its volatility is underestimated. During periods of stability, BTC can function as a hedge; however, during uncertainty, BTC tends to trade more like a risky technology stock, in direct contrast to gold. Furthermore, liquidity pressure and leveraged positions intensify BTC's price movements.

Conclusively, this presents a key dilemma: Is Bitcoin truly a strong diversification tool during heightened market volatility, or an asset whose behaviour becomes correlated at precisely the *wrong* times?

References

• Binance. (2025). Countries holding Bitcoin through confiscations. *Binance.* Available at: https://www.binance.com/en/square/post/21584167876489.

• CoinCentral. (2025) MicroStrategy expands Bitcoin holdings. *CoinCentral*. Available at: https://coincentral.com/strategy-inc-mstr-stock-adds-168-btc-as-treasury-strategy-hits-23-7b-in-gains/.

• Laboure, M. (2025). Bitcoin vs. Gold: The Future of Central Bank Reserves by 2030. *Deutsche Bank AG Research Institute.* Available at: https://www.db.com/what-next/digital-disruption/dossier-payments/i-could-potentially-see-bitcoin-to-become-the-21st-century-gold?language_id=1.

• Montgomery, J. (2025). Ukraine Introduces Bill to Allow Bitcoin in National Reserves. *Bitcoin Magazine.* Available at: https://bitcoinmagazine.com/news/ukraine-introduces-bill-to-allow-bitcoin-in-national-reserves.

• PolyMarket. (2025). Current FOMC Rate Cut Probabilities. *PolyMarket*. Available at: https://polymarket.com/dashboards/fed-rates.

• Reuters. (2025). Global crypto ETF inflows hit record $59.5bn. *Reuters*. Available at: https://www.reuters.com/sustainability/boards-policy-regulation/global-crypto-etfs-attract-record-595-billion-bitcoin-scales-new-highs-2025-10-07/.

• Trading Economics. (2025). Current Gold Performance 2025. *Trading Economics.* Available at: https://tradingeconomics.com/commodity/gold.

• Wener, Y. (2025). Bitcoin ETF outflows and liquidations. *CoinDesk*. Available at: https://www.coindesk.com/markets/2025/10/17/bitcoin-etfs-see-usd536-million-in-outflows-as-market-consolidates-below-usd110k.

• World Gold Council. (WGC) (2025). Gold reserves by country and ETF flows. *WGC*. Available at: https://www.gold.org/goldhub/data/gold-reserves-by-country.

• Yahoo Finance. (2025). Current Fed Rate Cut Outlook. *Yahoo Finance.* Available at: https://finance.yahoo.com/.

Too Big to Fail: TSMC & the World's Tech Dependency

Author: Luke Surge

Taiwan manufactures more than 90% of the world's semiconductors, placing it at the heart of the global tech industry and a key focal point in the geopolitical tensions between the United States (U.S.) and China.

In the current market, Taiwan stands as one of the most vital players in the digital economy. With such a remarkable influence on the sector, the Taiwanese powerhouse, TSMC, is the largest contracted manufacturer of chips in the world. The vast outreach beyond Taiwan's relatively small geographical mass conveys the impact, responsiveness and dependency of the wider economy. The limitless applications of TSMC's advanced chips serve as a stark reminder of how fragile society may be without them; the core functionality of our smartphones, AI servers and satellite technologies remain reliant on TSMC. With a significant dependency on Taiwanese chip manufactures, domestic factories act as the backbone of many multinational technology companies, such as Apple, Nvidia and AMD.

As of 2024, TSMC holds approximately 60% of the global semiconductor market and produces more than 90% of the world's most advanced chips, which are made at the 5nm level or smaller (Bloomberg, 2024a). As follows, a smaller transistor enables greater efficiency and performance, thus, greater demand for TSMC chips in such respects. However, the selective concentration of manufacturing power may create a single point of failure in the modern industry.

Taiwan's "Silicon Shield"

Due to the robust reliance on TSMC semiconductors, Taiwan's chip dominance may be described as a "silicon shield," with respect to the global economy. Given current geopolitical tensions in the region, accompanying nations may view potential domestic conflict to be an economically adverse event. However, Western dependency could possibly incentivise the involvement of divergent powers, whose perspectives centre on technological self-sufficiency as a critical aspect of national power. In regard to Western interests, China may become resilient to foreign investment in, disposition of and influence on relative supply chains in South Korea and Taiwan, which could be perceived as a strategic reservation. Several analysts have expressed caution regarding the development. According to a report by the Centre for Strategic and International Studies (2023), in the event of a military contingency, the U.S. might attempt to render TSMC's facilities inoperable to prevent their transfer of control to China (CSIS, 2023). If regional tensions further develop, estimates suggest territorial conflicts could cost the global economy upwards of $10 trillion (Bloomberg, 2024a). Moreover, potential blockades or embargos could trigger hyperinflation and lead to massive disruptions to the global supply chain and financial markets. The relevant implications of TSMC in the wider economy reveal the implicit political, regional and economical motivators, which draw upon the explicit need for TSMC's advanced chip technologies.

The Global Response

Considering recent disputes regarding Taiwan, domestic and foreign governments have recognised these pressing matters and have since been revising national strategies and initiatives. Under the *'CHIPS and Science Act (2022),'* the U.S. government has allocated approximately $50 billion to subsidise the domestic production of advanced semiconductors (NSF, 2024); cohesively, TSMC is constructing two chip-manufacturing factories in Arizona (Reuters, 2024). Additionally, we can observe similar responses from leading technology companies across the U.S., such as Intel, Samsung and GlobalFoundries, which have all unanimously launched comparable projects in accordance with the Federal Government.

The EU has introduced the '*European Chips Act*,' an initiative that has attracted upwards of $100 billion in combined public and private investment (European Commission, 2023). Moreover, Japan has partnered with TSMC to deliver a new factory in the Kumamoto region. South Korea has committed approximately $470 billion by 2047 to strengthen its position as a leader in the semiconductor industry (Bloomberg, 2024b). Despite historically depending on foreign chip technologies, China has announced plans to invest over $143 billion to support domestic companies, including SMIC and YMTC (Reuters, 2022). However, export restrictions have significantly hindered progress, and China continues to lag behind in advanced-node capabilities compared to its global counterparts.

Export Controls and Resource Allocation

Technology has emerged as a central area of strategic competition between the U.S. and China. The U.S. has implemented restrictions on the sale of advanced semiconductors and manufacturing equipment to Chinese firms. In response, China has introduced export controls of certain rare materials to the U.S. and allied countries, such as gallium and germanium, which are essential in the production of semiconductors (Reuters, 2022).

As a result, escalating tensions have created new challenges in the global semiconductor industry; equipment manufacturers and design firms are increasingly required to account for geopolitical risks in the planning of operations and investment decisions in the market.

Market Investment and Investment Shifts

From the perspective of investors, TSMC is a technological powerhouse; however, it may also be perceived as a relatively risky investment given the aforementioned challenges. Driven by the AI boom, TSMC's stock surged by approximately 90% in 2023 (Bloomberg, 2024a), yet market sentiment remained highly sensitive due to ongoing tensions in the Taiwan Strait. Consequently, numerous multinational companies are relocating portions of their supply chain to India, Vietnam and the United States in order to enhance organisational agility and resilience. Moreover, the influence of state subsidies on investment decisions has become increasingly evident, as projects that may not have been viable under market terms alone are now being pursued due to public funding and national security priorities.

Conclusion: Efficiency vs. Security

The major success of TSMC highlights a fundamental dilemma in the global economy: efficiency has driven decades of technological progress, but at the cost of strategic dependence. As a result, countries are willing to pay a premium to diversify and reduce reliance on Taiwan. However, complete decoupling is neither realistic nor desirable. The process of chipmaking is inherently a global effort; the U.S. leads in design, Japan and Europe in equipment, Taiwan in fabrication and China in assembly. This interdependence, while complex, serves as a deterrent of conflict.

Conclusively, Taiwan remains at the core of the modern digital economy. Whether it retains that position will depend not just on markets, but on diplomacy and the ability to balance competition with cooperation in an increasingly fragmented world.

References

• Bloomberg. (2024a). War over Taiwan would cost world economy $10 trillion. *Bloomberg*. Available at: https://www.bloomberg.com/news/newsletters/2024-0109/war-over-taiwan-would-cost-world-economy-10-trillion-big-take.

• Bloomberg. (2024b). South Korea lays out $470 billion plan to build chipmaking hub. *Bloomberg*. Available at: https://www.bloomberg.com/news/articles/2024-0115/south-korea-lays-out-470-billion-plan-to-build-chipmaking-hub.

• Center for Strategic and International Studies (CSIS). (2023). Silicon Island: Assessing Taiwan's Importance to U.S. Economic Growth and Security. *CSIS*. Available at: https://www.csis.org/analysis/silicon-island-assessing-taiwans-importance-useconomic-growth-and-security.

• European Commission. (2024). European Chips Act. *European Commission*. Available at: https://digital-strategy.ec.europa.eu/en/policies/european-chips-act.

• Ferrari, B. (2022) TSMC Ups its Investment in U.S. Based Semiconductor Fab Production. *The Ferrari Group*. Available at: https://theferrarigroup.com/tsmc-ups-its-investment-in-u-s-based-semiconductor-fab-production/.

• Reuters. (2022). China plans over $143 bln push to boost domestic chips, compete with U.S. - sources. *Reuters*. Available at: https://www.reuters.com/technology/china-plans-over-143-bln-push-boost-domesticchips-compete-with-us-sources-2022-12-13/.

• Reuters. (2024). US finalizes $6.6 billion CHIPS award for TSMC ahead of Trump return. *Reuters*. Available at: https://www.reuters.com/technology/us-finalizes66-billion-chips-award-tsmc-ahead-trump-return-2024-11-15/.

• U.S. National Science Foundation (NSF). (2024). CHIPS and Science Act. U.S. *National Science Foundation*. Available at: https://www.nsf.gov/chips.

State-Backed Equity and Market Manipulation in the United States

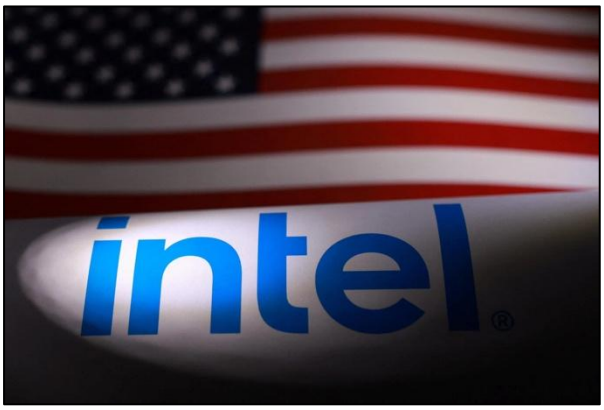
Author: Tiernan Collins

In August 2025, the United States (U.S.) government became one of the largest shareholders of Intel, acquiring a 10% stake in the company through the conversion of $9 billion worth of previously committed grants into equity. In an effort to incentivise chip manufacturing domestically and improve national security, the strategic manoeuvre proved to cause debate regarding state involvement in private sector business. As conveyed by BBC news, concerns arising in relation to collusion, insider advantage and the erosion of fair competition (Ahmadi, 2025) have become a focal point of such a substantial acquisition of Intel.

State-Level Conflict of Interest

Traditionally, the U.S. government acts as a market enforcer, ensuring fair competition rather than directly intervening in market operations; however, the recent Intel deal marks a departure from this role. Grants once intended to catalyse production have now been morphed into equity stakes, merging the realms of public subsidy and ownership. While the government leverages 433 million non-voting shares (i.e. The U.S. government does not have a direct board representative), the optics of the deal have raised scepticism amongst market observers. Historically, the government has only assumed equity in private firms under extenuating circumstances and the interest of the public good. A primary example is the 2008 bailouts of major banks and General Motors, when collapse threatened the wider economy (Zurcher, 2025). In direct contrast, the Intel deal occurs not during an emergency, but rather in anticipation of securing dominance in the semiconductor industry amidst the AI race. This pre-emptive investment poses the risk of entangling the government's dual roles as both regulator and shareholder, which reveals a multitude of potential conflicts of interest. Therefore, if the state is financially influenced by private profits, can the same state still responsibly enforce competition law, technological regulation, or relevant policy stances in the field of AI?

Market Insider Trading and Lobbying



The financial holdings of legislators in industries subject to their oversight has previously drawn scrutiny regarding conflicts of interest. Despite the *STOCK Act 2012*, there have been instances in which senators and representatives have executed trades before key legislative announcements or disclosed trades after the required deadline (Caputo, Marsco and Payne, 2022). Moreover, lobbying compounds this precedent; defence, energy and technology firms being among the most heavily affected sectors. Relatively, Intel has spent tens of millions annually in the aim of refining and adjusting policy (OpenSecrets, 2025). When legislators are both recipients of lobbying pressure and active participants in the market, the line between policymaking and profiteering blurs. The presence of the government as a direct shareholder further intensifies this imbalance. In essence, firms can not only argue for subsidies or regulatory changes, but for a direct government-backed investment in supporting domestic initiatives.

In recent years, this process has been of significant relevance in the U.S. government's increasing reliance on private firms, such as Palantir, Lockheed Martin and Raytheon; innately diluting the boundary between public mandate and private profit. Embedded through military and intelligence agencies, Palantir's analytics platforms have made the state as much a dependent client as a regulator (Kelly, 2025). Similarly, Lockheed Martin derived 73% of their revenue from private government contracts in the last year (Kolchev, 2024), whilst members of Congress openly traded in their shares. Thus, these entangled relationships, yet not by agency of equity stakes, serve to potentially create conflicts of interest and a hazy relationship between corporate performance and policy.

The coupling of state and private business raises the risk of policy capture, where legislation is written less for public benefit and more to secure corporate advantage. If antitrust action, export controls, or AI safety regulations could hurt Intel, can a government with a vested interest be unbiased in enforcing changes against this? Based on such reservations, the Intel deal is paradoxical in nature. Laws intended to safe-guard against market manipulation are based on the premise that regulators are impartial, such as SEC Rule 10b-5 which is designed to police private actors (U.S. Securities and Exchange Commission, 2023). When the state itself becomes a participant, the credibility and impartiality of enforcement by agents, such as the SEC, is undermined. Furthermore, investors may begin to believe that politically favoured firms have the advantage of "insider protection," eroding trust in the fairness of the U.S. capital markets.

A Fragile Balance

The U.S. government's ambitious equity stake in Intel may serve to strengthen supply chains and signal national ambition to be competitive in the AI race; however, the acquisition could potentially risk compromising the very principles of transparency and fair competition that traditionally underpin U.S. markets. What begins as industrial strategy could quickly subside into selective privilege. If markets conclude select companies are shielded not by merit but by political favour, the integrity of capital markets is called into question. In a nation that has long championed free enterprise, the Intel deal is more than an investment, it is a test of whether the U.S. government can remain both an impartial regulator and player simultaneously.

Conclusion: Precedent Set

Conclusively, the Intel deal may not be a standalone venture and could set a collective precedent for future strategic acquisitions by the government. In reference to Palantir and Lockheed Martin, companies with existing relationships with the government could soon become official state partners through equity purchases. In theory, recent discussions surrounding the establishment of a Strategic Bitcoin Reserve could now be constructed through partial acquisitions of corporations like *Strategy* (formerly MicroStrategy). Additionally, this could be extended to stakes of firms in energy, bio-tech, agribusiness, or cloud computing; particularly when aligned with strategic partnerships intended to serve the public interest. A growing pattern of state-backed equity could entrench influence, where corporate and political power converge, amplifying the risk that strategic industries become policymakers in their own right. In effect, despite the current stake consisting of non-voting shares, the Intel deal sets an atypical precedent, which imposes upon the means of production and polarises the private industry solely for the aim of strategic growth. Therefore, the acquisition stands to remind the U.S. of its traditionalist values that has long defined itself in opposition to state-led capitalism (Zurcher, 2025).

References

• Ahmadi, A.A. (2025) US loses last perfect credit rating amid rising debt. *BBC News*. Available at: https://www.bbc.com/news/articles/c4ge0xk4ld1o (Accessed: 1 September 2025).

• Caputo, D., Marsco, D. and Payne, K. (2022) The STOCK Act: The failed effort to stop insider trading in Congress. *Campaign Legal Center.* Available at: https://campaignlegal.org/update/stock-act-failed-effort-stop-insider-trading-congress.

• Kelly, M. (2025) Palantir is extending its reach even further into government. *Wired*. Available at: https://www.wired.com/story/palantir-government-contracting-push/.

• Kolchev, I. (2024) How much do government contracts contribute to defense suppliers' revenue share? *TenderAlpha*. Available at: https://www.tenderalpha.com/blog/post/fundamental-analysis/how-much-do-government-contracts-contribute-to-defense-suppliers-revenue-share

• OpenSecrets. (2025) Client profile: Intel Corp. *Center for Responsive Politics*. Available at: https://www.opensecrets.org/federal-lobbying/clients/summary?id=D000000804.

• The Business Times. (2025). Intel warns US stake could hurt international sales, future grants. *The Business Times.* Available at: https://www.businesstimes.com.sg/companies-markets/telcos-media-tech/intel-warns-us-stake-could-hurt-international-sales-future-grants.

• U.S. Securities and Exchange Commission. (2023) Rule 10b5-1: Insider trading arrangements and related disclosure. *Fact Sheet.* Available at: https://www.sec.gov/files/33-11138-fact-sheet.pdf.

• Zurcher, A. (2025) Trump's brand of US capitalism faces 'socialist' backlash from conservatives. *BBC News*. Available at: https://www.bbc.com/news/articles/cn85n2vg04go.

Artificial Intelligence & the Productivity Puzzle: What it means for investors

Author: Adrian Feeley

Over the course of the past decade, economists from around the world have been puzzled as to why productivity growth of advanced economies has stalled in recent years despite rapid technological advancements and digital innovation. The emergence of Artificial Intelligence (AI) offers a resolution to this stagnation of productivity; however, the full scope of its application remains uncertain.

AI at the Firm Level: Evidence of Gains

Studies have demonstrated that the application of AI has significantly accelerated productivity in specific industries and work conditions. According to a survey of 5,000 call centre employees conducted by researchers at Stanford University and MIT, access to a well-trained generative AI assistant increased productivity by an average of approximately 14% (Brynjolfsson et al., 2023). Furthermore, the average productivity increases to 34% when AI is utilised by contemporarily inexperienced employees. The survey highlights how Artificial Intelligence fundamentally improves employee productivity and reduces the difficulty of related tasks; therefore, lowering training costs and widening margins in firms, specifically for organisations whose operations heavily depend on call centres.

However, these promising results of Artificial Intelligence may not be consistent or shared across all industries. According to MIT professor Dr Daron Acemoglu and Yale professor Dr Pascual Restrepo, new technologies displace existing tasks while simultaneously creating new ones, hence disrupting labour market equilibrium (Acemoglu & Restrepo, 2019). In essence, productivity may only increase should the balance shift in favour of completing more tasks, as opposed to displacing or creating them entirely. If AI primarily replaces routine tasks without generating sufficient new, value-creating activities, the long-term gains are likely to be limited and could result in less efficient processes overall.

The Superstar Effect and Equity Markets

How the benefits of Artificial Intelligence are distributed is vital to the sustainability of fair markets and the mitigation of oligopolistic principles. The distribution of Artificial Intelligence's benefits appears to be disproportionately concentrated within specific firms and industries. Due to a greater technological capacity, "*Superstar Firms*" exemplify how technological progress can amplify the market power of a small group of highly productive companies (Autor et al., 2020). In equity markets, the pattern is already evident, with leading technology companies such as Microsoft, Alphabet and NVIDIA capturing the bulk of market value created from AI adoption. For investors, this trend may indicate opportunities are increasingly concentrated in a few dominant players, rather than being evenly distributed amongst market participants.

Relatively, Artificial Intelligence may intensify competitive pressures on smaller firms, resulting in adverse outcomes for those who are unable to respond with agility. If AI forces industry and customer expectations to exceed realistic standards, firms that are unable to adopt Artificial Intelligence will become obsolete in the long term. In the context of equity markets, the elimination of Small and Medium-sized Enterprises (SMEs) may inherently widen the performance gap between leaders and laggards, which perpetuates the necessity for due diligence among investors as AI continues to reshape market dynamics.

Intangibles and Valuation Challenges

The treatment of AI within firms' financial statements has become a key focus of investors. Intangible assets such as software, data and organisational capital are expensed rather than capitalised. Thus, artificial intelligence-based firms appear more expensive based on traditional valuation metrics. According to Dr Brynjolfsson and et al., intangible assets may be difficult to accurately measure, but are strongly correlated to the value of the firm itself (Brynjolfsson et al., 2002). Moreover, Dr Carol Corrado and her co-authors further propose that intangible capital has been a major determinant of growth in the U.S. economy (Corrado, Hulten and Sichel, 2019); hence, owing to the positive counter-arguments of Artificial Intelligence.

From the perspective of an equity analyst, companies that choose to heavily invest in Artificial Intelligence may not *appear* to be earning high-volume returns today; however, these companies realise the value and agility of AI as a valuable long-term asset. Therefore, traditional metrics in measuring earnings, such as the Price-to-Earnings (P/E) Ratio, may fail to capture the full scope of companies' value and, by extension, industries themselves.

Risks and Uncertainties

The hype of Artificial Intelligence remains prominent and continues to convey its transformative capacity in numerous applications. Yet, the potential macroeconomic consequences of AI reveal a facade behind the seemingly promising results. As stated by the *Organisation for Economic Co-operation and Development (OECD)*, while AI could enhance productivity, the distributional effects are markedly unequal and diffusion across sectors is expected to take a considerable amount of time (Filippucci et al., 2024). Historical metrics further indicate that general-purpose technologies, such as electricity and computing, require decades of complementary investment before yielding any observable productivity gains (Kogan et al., 2017).

Due to the abnormal uncertainties, Artificial Intelligence may prompt substantial risks for investors and the global economy; market dominance, occupational disruptions and prolonged payoffs. If the adoption of AI lags or the costs of integration exceed expectations, the current valuations of AI-linked firms shall experience significant downward pressure and market scrutiny. Furthermore, the integration of AI may provoke political and regulatory challenges, especially if labour market disruptions trigger wage stagnation or job losses in certain sectors.

Conclusion

Despite its promising appearance, Artificial Intelligence will likely create *selective gains*, as opposed to *universal gains*. The firms whose funding, scale and resources enable the efficient integration of AI are those who will realise the full capacity, potential and opportunities AI has to offer. Thus, early adoption will allow for major data advantages, effectively translating productivity into durable profits. However, broader equity indices may not be as affected in the short run; benefits are likely to be unevenly distributed across sectors.

In conclusion, Artificial Intelligence has the potential to be transformative; nevertheless, past trends and current research illustrate that investors must approach the technology with caution compared to alternative investments. It is essential for equity strategies to focus on identifying the true innovators and adopters within the market, whilst ensuring they determine the risks of hype-driven overvaluation. Ultimately, investors may be inclined to assume a rapid resolution to the productivity puzzle; an optimism that disregards the structural, temporal and societal consequences of the technological diffusion of Artificial Intelligence.

References

• Acemoglu, D. & Restrepo, P. (2019). Automation and New Tasks: How Technology Displaces and Reinstates Labor. *Journal of Economic Perspectives, 33*(2), 3–30. Available at: https://doi.org/10.1257/jep.33.2.3

• Autor, D., Dorn, D., Katz, L.F., Patterson, C. & Van Reenen, J. (2020). The Fall of the Labor Share and the Rise of Superstar Firms. *Quarterly Journal of Economics, 135*(2), 645–709. Available at: https://doi.org/10.1093/qje/qjaa004

• BrianPenny (2024). AI Generated, Face, Artificial Intelligence. Royalty-Free Stock Illustration Image. *PixaBay.* Available at: https://pixabay.com/illustrations/ai-generated-face-8540915/.

• Brynjolfsson, E., Hitt, L.M. & Yang, S. (2002). Intangible Assets: Computers and Organizational Capital. *Brookings Papers on Economic Activity, 2002*(1), 137–198. Available at: https://doi.org/10.1353/eca.2002.0001

• Brynjolfsson, E., Li, D. & Raymond, L. (2023). Generative AI at Work: Evidence from a Call Center. *NBER Working Paper 31161*. Available at: https://www.nber.org/papers/w31161

• Corrado, C., Hulten, C. & Sichel, D. (2009). Intangible Capital and U.S. Economic Growth. *Review of Income and Wealth, 55*(3), 661–685. Available at: https://doi.org/10.1111/j.1475-4991.2009.00343.x

• Filippucci, F., Gal, P., Jona-Lasinio, C., Leandro, A. & Nicoletti, G. (2024). The Impact of Artificial Intelligence on Productivity, Distribution and Growth. *OECD AI Papers, No. 15*. Available at: https://doi.org/10.1787/8d900037-en

• Kogan, L., Papanikolaou, D., Seru, A. & Stoffman, N. (2017). Technological Innovation, Resource Allocation, and Growth. *Quarterly Journal of Economics, 132*(2), 665–712. Available at: https://doi.org/10.1093/qje/qjx003

A Tug of War: Dynamic Pricing and Ethical Regulations

Author: Charlotte Conneely

Introduction to Dynamic Pricing

In a world of Big Data and ingenious algorithms, "dynamic pricing" has become the silent slayer of the consumer's purchasing power. As described by Forbes (2025), the algorithmic pricing matrix succeeds by "leveraging sophisticated mathematical models and real-time data to set and adjust prices…[analysing] factors like customer demand, competitor pricing, inventory levels, seasonality and external variables such as local events or weather." Fundamentally, dynamic pricing is capable of examining *any* and *every* variable to adjust the prices of products accordingly; however, this may raise concerns regarding the direct motivation and influence upon the consumer's decisions.

Through employing the classic '*free-trade*' mechanism of supply and demand, the algorithm serves to increase revenue in the adoption of AI-technologies and dissection of consumer data. Moreover, the emerging technology is accompanied by auxiliary benefits, such as improved customer profiling, cost-efficiencies and stock-control. Thus, those who invest early in the complex algorithm are those who are most likely to reap its benefits.

Ethical Concerns & Societal Impact

Nevertheless, academics, lawmakers and consumer specialists caution against the ethical implications of these controversial practices given the potential manipulation of customers and intrusive collection of personal data. Additionally, various scholars attribute a lower-income class to an increased probability of being negatively affected by dynamic pricing. Lower-income individuals have low price elasticity and restrictive purchasing power, and are subsequently forced to accept higher prices and absorb the disproportionate consequences of advanced AI systems capable of vastly outpacing human decision-making.

In direct correlation, price discrimination is distinctly evident in sectors whose products/services do not have any substitute alternatives compared to relative industries. As illustrated by the U.S. airline industry, "four airlines control 80% of the civilian air travel market" in the United States (Economics Online, 2025), which demonstrates the inability of consumers to substitute and the narrow span of control in an extremely inelastic market. Adjacent to the lack of competition, the oligopolistic airline industry may leverage dynamic pricing to manipulate prices, thus maximising revenues at the cost of the consumer.

U.S. Regulatory Response

Given the rapid multi-sector deployment of Artificial Intelligence (AI), it is imperative to acknowledge the extensive regulations and scepticism surrounding AI in the interest of protecting consumer rights. In early 2025, Delta proposed implementing dynamic AI marketing tools, which regulatory bodies promptly blocked based on potential privacy violations (Harvard Law School, 2025). Retrospectively, the rapid response and advocacy of privacy indicates a sense of awareness among lawmakers of possible wrongdoing against the consumers.

The global economy has yet to appreciate the consequences of the AI boom, and it is vital for government bodies to recognise the associated risks to *all* market participants to ensure its sustainable long-term application. Moreover, the exponential development of dynamic pricing will be accelerated through Deep Learning and Large Language Models (LLMs); therefore, by preventing corporations exploiting these technologies, consumers stand a chance to protect their interests against a force whose full impact remains uncertain.

The United States (U.S.) is one of, if not the largest consumer markets globally. Due to the surge of interest in AI, several U.S. states have introduced constrictive regulatory frameworks to mitigate economic risks and uphold corporate accountability, particularly with dynamic pricing. In the recent case *National Retail Federation v. James*, the NRF filed a lawsuit against the New York Attorney General Laetitia James regarding the state's "Algorithmic Pricing Disclosure Act," which requires businesses to disclose if a price has been adjusted by an algorithm based on consumers' personal data (Bloomberg Law, 2025).

As of December 2025, at least ten other states are considering the introduction of transparency laws governing AI and dynamic pricing. Furthermore, U.S. Senator Amy Klobuchar has enacted the "Preventing Algorithmic Collusion Act" to restrict the formation of cartels, reinforce consumer confidentiality and better inform individuals of algorithmic-adjusted pricing. The new acts convey the redeemable attitudes of regulatory bodies to protect both consumers and market competition, discouraging the disruption of traditional '*free-trade*' mechanisms.

International Perspective

The pervasive and ambiguous presence of AI is shared worldwide. According to John Cassels, issues of data privacy and consumer protection remain a major concern within the European Union. Recent reports indicate the EU Commission has been conducting "multiple (not yet public) dynamic pricing antitrust investigations" and its potential implications associated with AI pricing strategies (FieldFisher, 2025). Since the extensive adoption of dynamic pricing technologies, EU citizens have experienced adverse effects of AI-influenced marketplaces.

For example, in September 2024, fans of all ages were captivated by the announcement of Oasis's revival concert. The resulting level of demand could have filled hundreds of stadiums. In response, pricing algorithms detected the high level of interest and willingness of long-time fans to pay increased prices. Consequently, thousands of tickets were sold for more than €400 above their original advertised prices. As per the RTE (2024), these increases sparked widespread public outrage and over 100 complaints to the *Competition and Consumer Protection Commission (CCPC)*. A similar controversy arose during Taylor Swift's 'Eras Tour' in 2022, whereby tickets "[were] being resold for up to $22,700 on resale sites" (Capital FM, 2022). The algorithmic-targeted price adjustments and ensuing public backlash triggered the aforementioned antitrust investigations by the EU Commission.

Conclusion

The *Organisation for Economic Co-Operation and Development (OECD)* has highlighted concerns regarding the prevalence of dynamic pricing. In conjunction with their annual report, the OECD outlined their definitive categories of concern in May 2023: algorithms as facilitators of traditional competition, risks of algorithmic price-fixing agreements, hub-and-spoke schemes, vertical agreements and tacit collusion through autonomous learning (OECD, 2023).

Overall, the aforementioned issues reflect the difficulties in balancing modern technological efficiency and ethical practices. Due to the previous scrutiny of dynamic pricing, strict regulations are subject to be enforced and defend consumer rights. However, the question is whether corporations and the consumer can set aside their differences to collaborate in the responsible adoption of algorithmic pricing. Conclusively, intelligent technologies require contemporary and exhaustive pre-launch verifications to ensure regulatory compliance, adherence to customer-value principles and prevention of unintended or discriminatory outcomes.

References

- Cassels, J. (2025). Regulators Go after Dynamic Pricing. *FieldFisher*. Available at: www.fieldfisher.com/en/insights/regulators-go-after-dynamic-pricing.

- Clarke, R. (2024). Around 100 Complaints Made to CCPC over Oasis Ticket Sale. *RTE.ie*. Available at: www.rte.ie/news/ireland/2024/1004/1473507-oasis-tickets-complaints/.

- Deagle, W., Morin, T. & Chau, T. (2025). NY Algorithmic Pricing Law Decision Provides Map for Compliance. *Bloomberg Law.* Available at: news.bloomberglaw.com/legal-exchange-insights-and-commentary/ny-algorithmic-pricing-law-decision-provides-map-for-compliance.

- Kumar, U. (2025). Algorithmic Pricing: How AI Can Transform Retail Profitability. *Forbes.* Available at: www.forbes.com/councils/forbestechcouncil/2025/08/22/algorithmic-pricing-how-ai-can-transform-retail-profitability/.

- OECD Secretariat. (2023). Algorithmic Competition. *Organisation for Economic Co-operation and Development (OECD).* Available at: https://one.oecd.org/document/DAF/COMP(2023)3/en/pdf.

- OECD. (2025). Algorithmic Pricing and Competition in G7 Jurisdictions: Emerging Trends and Responses. *Organisation for Economic Co-operation and Development (OECD).* Available at: https://doi.org/10.1787/f36dacf8-en.

- Prance, S. (2022) Taylor Swift Fans Slam Dynamic Pricing after Tickets Go on Resale for up to $22,000. *Capital FM.* Available at: www.capitalfm.com/artists/taylor-swift/tickets-dynamic-pricing-the-eras-tour-ticketmaster/.

- Rust, O. (2025). Price Discrimination in the Airline Industry: How Airlines Maximize Revenue through Dynamic Pricing. *Economics Online.* Available at: www.economicsonline.co.uk/all/price-discrimination-in-the-airline-industry-how-airlines-maximize-revenue-through-dynamic-pricing.html/.

- Reed, R. (2025). How Delta Airlines and Other Companies Use Dynamic Pricing to Determine How Much You Pay - Harvard Law School." *Harvard Law School*. Available at: hls.harvard.edu/today/how-delta-airlines-and-other-companies-use-dynamic-pricing-to-determine-how-much-you-pay/.

- Saraev, N. (2023). Dynamic Pricing in B2B: Challenge or Opportunity? *Copperberg*. Available at: https://www.copperberg.com/dynamic-pricing-in-b2b-challenge-or-opportunity/.

The Art of Consolidation: The Battle for Streaming

Author: Raife Nichols

Introduction: Consolidation in Modern Markets

The transactional framework of Mergers and Acquisitions (M&A) is pivotal in how firms allocate capital, influence competition and manage relationships with shareholders. According to the Cambridge Centre for Finance of the University of Cambridge, the concept of Mergers and Acquisitions can be defined as "...important forms of investment made by firms and also transactions in the market of corporate control." In direct correlation, M&A transactions facilitate horizontal, or industry-specific, consolidation; however, the consumer must question the supposed dichotomy between market competition and consumer rights in M&A transactions. The consolidation of corporate control is determined by either value-creating or value-destroying motives (Halebian et al., 2009; Rahman et al. 2015), whereby mergers are constructive investments or hostile takeovers. Thus, the direct or indirect elimination of market competitors may tacitly impact consumer choice, the quality of products and the trajectory of innovation.

The Illusion of Choice: Netflix & Warner Bros.

The brick-and-mortar entertainment industry is facing a serious challenge in a world of technology, remote living and on-demand streaming. During the COVID-19 lockdowns, consumers substituted social activities with streaming services; Netflix added 15.7 million new subscriptions in Q1 2020 (New York Times, 2020), while the streaming industry experienced overall growth of 12% (Forbes, 2020). These surges exemplify the evolving presence of the Streaming Video on Demand (SVOD) industry; therefore, the COVID-19 pandemic significantly accelerated the transition to online-based entertainment services. Consumers are no longer willing to pay for a single movie, while hundreds of movies and television programmes are a click away. Consequently, the streaming market has become highly saturated and platforms such as Netflix, Amazon Prime and Disney+ must now differentiate themselves by offering exclusive content and consolidating services. According to MNTN Research (2023), approximately 46% of US viewers report being "overwhelmed" with excessive options in streaming content, which demonstrates both the market saturation and challenges of capturing consumer attention. In this context, the proposed merger between Warner Bros. Discovery (WBD) and Netflix would distort competition, reduce consumer choice and further concentrate the entertainment industry.

On December 5th, 2025, Netflix announced a non-binding acquisition offer valuing Warner Bros. Discovery at a total enterprise value of $82.7 billion ($27.75/share; $23.25 in cash and $4.50 in equity), which is approximately $12.7 billion (+18.14%) higher than the equity valuation of WBD (Netflix, 2025; Yahoo Finance, 2025). The proposed transaction is structured as a cash acquisition, which is typically attractive to shareholders as profits are immediate and more streamlined than stock-swaps. In most M&A transactions, cash acquisitions require raising financing through debt or reserves; however, Netflix's ambitious valuation signals a sense of confidence and readiness. Including major franchises such as *Game of Thrones* and *Harry Potter*, the Netflix-WBD merger, according to Bank of America (BofA) analysts, "would provide immediate low-risk engagement, with significant upside from potential reboots, prequels, or other franchise extensions" (Fortune, 2025; BofA, 2025), which could increase shareholder returns and diversify platform offerings, while simultaneously limiting SVOD market competition and eliminating market competitors.

Notwithstanding a current market capitalisation of $389.69 billion (Trading Economics, n.d.), Netflix has been underperforming in recent months due to investor uncertainty and media backlash. Since the end of June 2025, Netflix's stock has decreased by approximately 28% and was ranked as the "seventh-worst performer in the Nasdaq 100 Index" (Fortune, 2025). Following the announcement, despite a strong price-to-earnings (P/E) of 37.4x, sell-side analysts downgraded Netflix's stock from "Buy" to "Hold" and revised their target price estimates downwards from approximately $160 (per Pivotal Research) to $92 (per Huber Research), which signals investor concerns regarding the strategic and operational risks of the proposed acquisition (Yahoo Finance, 2025). Consequently, fears of reduced competition in the streaming market have contributed to negative investor sentiment and potential integration risks. The perceived financial viability of the acquisition is counteractive of the position Netflix anticipated, which demonstrates how investors recognise the inherent risks of a highly concentrated market position.

Source: Yahoo Finance, 2025

Regulatory and Antirust Considerations

If Netflix is successful in acquiring Warner Bros., the merged Netflix-WBD entity is projected to represent approximately 30-40% of the global SVOD market, which is "...enough power to dictate the terms of engagement to consumers, content creators, and distributors alike" (Fortune, 2025). Currently, Netflix leads with 302 million global subscriptions, while Disney and Amazon have 221 million and 220 million respectively. However, the Warner Bros. acquisition will substantially increase Netflix's subscription count to approximately 430 million (+42.38%), which may increase further as consumers experience the bundling of premium content on a single platform (Medium, 2025). Hence, members of Congress have raised antitrust concerns, warning the acquisition of WBD and HBO Max would grant the company substantial market power and constrain consumer choice (Reuters, 2025).

In the short-term, the bundling of streaming services could reduce subscription fees (Yahoo Finance, 2025); yet, as the stock price rallies in the long-term, the current market share may encourage Netflix-WBD to absorb smaller entities in the pursuit of market dominance and profit-maximisation. Thus, further consolidation will force current competitors to mirror Netflix's standards and price-hikes, which may negatively affect consumer alternatives and diminish industry innovation.

Moreover, due to increased monopolistic power, new SVOD market entrants may face greater barriers to entry such as increased capital requirements, heightened regulatory standards and Intellectual Property (IP/Copyright) issues. Collectively, these factors restrict access to financing, content and legal approval, thereby deterring effective market entry. According to Deadline (2025), anonymous executive sources believe "A price that high [$82.7 billion] indicates that the streamer is out to decimate the theatrical business," which conveys the underlying impact of the Netflix-WBD acquisition on open markets and traditional entertainment practices, subsequently reducing the variety and quality of content from declining competition. Additionally, the Writer's Guild of America's East and West branches stated that the proposed merger would "eliminate jobs, push down wages, worsen conditions for all entertainment workers, raise prices for consumers, and reduce the volume and diversity of content for all viewers" (Business Insider, 2025). The potential ramifications reach all shareholders as the developing Netflix-WBD deal is situated "...at the 'epicenter' of a significant shift in asset valuation and competitive strategy" (Fortune, 2025; BofA, 2025).

Thus, the acquisition may become one of the most influential M&A transactions in modern media history, comparable to the AOL-Time Warner (Medium, 2025) merger during the dot-com bubble with regard to market concentration and industry consolidation.

Market Competitors and Industry Dynamics

As observed in numerous M&A proposals, value-destroying mergers pressure competitors to counter with inflated valuations to prevent potential threats against their market position. With the acquisition, Netflix would expand significantly beyond streaming and likely become the leading production and distribution company. As a defensive strategy, Paramount Skydance (PSKY) subsequently submitted a competing offer of $108.4 billion ($30.00/share) to Warner Bros. Discovery, demonstrating an awareness of the impending shift in market competition and an urgency to impede hostile investments.

According to CNBC (2025), WBD shareholders expressed objections with financing and regulatory issues regarding Foreign Direct Investment (FDI). Comparatively, PSKY's tender offer received scepticism as more funding was pledged by Middle Eastern sovereign wealth funds (SWFs) than the Ellis family, "which committed approximately $12 billion" (CNBC, 2025). The WBD board recommended rejecting the offer and entering exclusive negotiations with Netflix (Variety, 2025). As a result, the PSKY stock declined by approximately 7% (Market Beat, 2025) as shareholders confronted the loss of a key potential merger to Netflix, which raised concerns about the company's strategic future.

As an economic diversification strategy, Middle Eastern SWFs have expanded investments into non-oil industries such as entertainment, technology and gaming. Furthermore, the foreign investment demonstrates how competitive dynamics transcend individual firms, and how nations leverage state-backed investments to enhance GDP growth, global influence and market positioning.

Cohesively, the Netflix-WBD merger depicts the ability of large corporations to control competition, thereby consolidating market power to suppress competitor expansion and capture consumer interest. However, several analysts believe the Netflix-WBD merger could improve industry dynamics, consumer welfare and WBD shareholder value. According to AInvest (2025), the Warner Brothers. acquisition "is projected to generate $2-3 billion in annual cost savings by the third year post-merger," given the unification of production capabilities and distribution networks.

As fixed costs are high in the SVOD industry, the Netflix-WBD entity would improve operational and cost efficiencies by concentrating their joint resources on high-value projects. Therefore, lower production and distribution costs could reduce overhead expenditure and "become accretive to earnings per share within the second full year" (Market Beat, 2025), while simultaneously allowing greater autonomy from third-party studios. Furthermore, the combination of intellectual property libraries will provide consumers with an extended selection of premium content, personalised offers and simplified pricing structures. With approximately $9 billion in free cash flow (Trading Economics, n.d.), Netflix is positioned to outperform Disney and Amazon, and potentially become the *true* leader of the SVOD industry.

Conclusion: Global Implications

Across all industries, market competition is fundamental in stimulating creativity, diversity and long-term economic sustainability. While competitive rivalries may appear destructive at face value, both price and non-price competition promote industry innovation and benefit consumers through substitution opportunities and quality improvements. Within oligopolistic markets, mutual interdependence preserves fair competition and a balanced market structure; however, further consolidation would increase Netflix's monopolistic power, which may raise the barriers to entry, restrict industry innovation and discourage competitor expansion. As a result, the consequences may be borne by the consumers and entertainment workers; in the long-term, subscription prices may surge and employment opportunities may decrease. Furthermore, high market concentration reduces the diversity of product offerings to consumers, which could adversely affect content quality from the lack of competitive conditions and domineering market position.

Hence, the potential antitrust implications of the Netflix-WBD merger may require policymakers to enforce stricter domestic and international regulations on industry consolidation, asset valuation and competitive dynamics. Additionally, the negative market reaction to Netflix's offer illustrates how investors intrinsically value competition and antitrust oversight in their stock assessments. Therefore, due to the consolidation of market power, the Netflix-WBD M&A transaction sets a contentious precedent: the removal of market competitors may generate corporate gains at the potential long-term expense of competition, creativity and consumers.

References

• ABI Research. (2020). As Expected, Streaming and SVOD up During COVID-19 Pandemic—Networks Mostly up to the Task. *ABI Research*. Available at: https://www.abiresearch.com/market-research/insight/7778296-as-expected-streaming-and-svod-up-during-c.

• AInvest. (2025). Netflix's Consolidation of Media Dominance: Strategic Moat Expansion and Competitive Exclusion in the Streaming Sector. *AInvest*. Available at: https://www.ainvest.com/news/netflix-consolidation-media-dominance-strategic-moat-expansion-competitive-exclusion-streaming-sector-2512.

• Beech, M. (2020). COVID-19 Pushes Up Internet Use 70% And Streaming More Than 12%, First Figures Reveal. *Forbes*. Available at: https://www.forbes.com/sites/markbeech/2020/03/25/covid-19-pushes-up-internet-use-70-streaming-more-than-12-first-figures-reveal.

• Brannon, I. (2025). Netflix's takeover of Warner Brothers is a nightmare for consumers. *Fortune*. Available at: https://fortune.com/2025/12/11/netflixs-takeover-of-warner-brothers-is-a-nightmare-for-consumers/.

• Business Insider. (2025). Reviews are in, and Hollywood insiders aren't pleased with the Netflix-Warner Bros. deal. *Business Insider.* Available at: https://www.businessinsider.com/hollywood-insiders-hate-netflix-warner-bros-deal-james-cameron-kilar-2025-12.

• Cambridge Judge Business School. (2025). Mergers & acquisitions. *Cambridge Judge Business School, University of Cambridge.* Available at: https://www.jbs.cam.ac.uk/centres/finance/research/mergers-acquisitions/.

• D'Alessandro, A. (2025). 2026 U.S. Box Office To Hit $9B: How Long Can Theatrical Biz Remain Intact Before Netflix-Warner Bros Crushes The Window? *Deadline*. Available at: https://deadline.com/2025/12/box-office-2026-preview-1236657116/.

• Duprey, R. (2025). Should You Sell Netflix Stock Before It Wins the Warner Bros Takeover? *Yahoo Finance*. Available at: https://finance.yahoo.com/news/sell-netflix-stock-wins-warner-170412592.html.

• Frenette, J. (2025). Netflix Stock is Down 30%. Is It a Buy? *Yahoo Finance.* Available at: https://finance.yahoo.com/news/netflix-stock-down-30-buy-144327313.html.

• Godoy, J. (2025). Opposition to Netflix-Warner Bros deal crosses political party lines. *Reuters*. Available at: https://www.reuters.com/legal/litigation/netflix-warner-bros-deal-faces-antitrust-pushback-even-company-touts-benefits-2025-12-05/.

• Graveman, S. (2023). More Options, More Anxiety: CTV Viewers Are Overwhelmed. *MNTN Research.* Available at: https://research.mountain.com/insights/overwhelmed-streaming/.

• Johnson, J.N. (2025). Netflix Wins the Streaming Wars: The $82B Warner Bros. Deal. *Market Beat*. Available at: https://www.marketbeat.com/originals/netflix-wins-the-streaming-wars-the-82b-warner-bros-deal/.

• Lee, E. (2020). Netflix Earnings: Nearly 16 Million New Subscribers Join So Far in 2020. *The New York Times*. Available at: https://www.nytimes.com/2020/04/21/business/media/netflix-q1-2020-earnings-nflx.html#.

• Lichtenberg, N. (2025a). Netflix would be 'killing three birds with one stone' by buying Warner Bros. Discovery, BofA says. *Yahoo Finance.* Available at: https://finance.yahoo.com/news/netflix-killing-three-birds-one-185424079.html?guccounter=1.

• Lichtenberg, N. (2025b). Netflix would be 'killing three birds with one stone' by buying Warner Bros. Discovery, BofA says. *Fortune*. Available at: https://fortune.com/2025/12/01/netflix-kill-three-birds-one-stone-warner-brothers-discovery-bidding-paramount-comcast/.

• Lichtenberg, N. (2025c). Next shoe in Netflix-WBD saga drops as Paramount launches hostile bid that includes Trump son-in-law Jared Kushner. *Fortune*. Available at: https://fortune.com/2025/12/08/paramount-hostile-bid-warner-brothers-discovery-30-per-share-netflix-antitrust/.

• Maranz, F., Vlastelica, R. and Bloomberg. (2025). Netflix sinks as concerns mount over risks of Warner Bros. deal. *Fortune*. Available at: https://fortune.com/2025/12/09/netflix-stock-sinks-warner-paramount-hostile-bid-investors-worried/.

• Martin, R. (2025). The Strategic Logic of the Netflix-Warner Bros. Deal. *Medium*. Available at: https://rogermartin.medium.com/the-strategic-logic-of-the-netflix-warner-bros-deal-391015f6d315.

• Netflix. (2025). Netflix to Acquire Warner Bros. Following the Separation of Discovery Global for a Total Enterprise Value of $82.7 Billion (Equity Value of $72.0 Billion). *About Netflix*. Available at: https://about.netflix.com/en/news/netflix-to-acquire-warner-bros.

• Nguyen, K.P. (2025). Netflix vs. Paramount: Hollywood's $28 Billion Battle for the Crown of Streaming. *Yahoo Finance.* Available at: https://finance.yahoo.com/news/netflix-vs-paramount-hollywoods-28-112711269.html?guccounter=1.

• Oberoi, M. (2025). Netflix Stock Went from Boom to Bust This Year: How to Play the Stock for 2026. *Yahoo Finance*. Available at: https://finance.yahoo.com/news/netflix-stock-went-boom-bust-193039890.html.

• Rahman, M. and Lambkin, M. (2015). Creating or destroying value through mergers and acquisitions: A marketing perspective. *Industrial Marketing Management*, 46, pp.24–35. doi:https://doi.org/10.1016/j.indmarman.2015.01.003.

• Reilly, L. (2025). Warner Bros. chose Netflix over Paramount — again. Now what? *CNN*. Available at: https://edition.cnn.com/2025/12/17/media/warner-bros-chose-netflix-over-paramount-again-now-what.

• Sherman, A. (2025). Why Warner Bros. Discovery shareholders might opt for Paramount's offer — and why they might not. *CNBC*. Available at: https://www.cnbc.com/2025/12/22/paramount-wbd-tender-offer-arguments.html.

• Siegler, M.G. (2025). Oh No, a Tech Company is Buying a Movie Studio. *Spyglass*. Available at: https://spyglass.org/netflix-warner-bros-hollywood-concerns/.

• Spangler, T. (2025). Warner Bros. Discovery Rejects Paramount $30/Share Acquisition Offer. *Variety*. Available at: https://variety.com/2025/film/news/warner-bros-discovery-rejects-paramount-acquisition-offer-1236609963/.

• Trading Economics. (n.d.). Netflix | NFLX - Market Capitalization. *Trading Economics.* Available at: https://tradingeconomics.com/nflx:us:market-capitalization.

Running Hot: The Challenge of Healthcare Inflation

Author: Matthew McCutcheon

Introduction: Healthcare vs. General Inflation

The persistent gap between healthcare and general inflation is more than a statistical curiosity; it represents a growing policy challenge. As healthcare costs continue to rise, public finances are strained, real incomes are eroded and inequalities in access to care widen. Based on observed historical patterns, it is generally assumed that inflation in the healthcare sector outpaces inflation in the wider economy. According to a study published by Milliman in 2023, medical inflation has exceeded general inflation in 87% of the years since 1947, by an average of 1.7 percentage points. In 2026, estimates of the projected global medical cost inflation vary from 8% to 11%, whereas the International Monetary Fund (IMF) predicts the global inflation rate to be approximately 3.7% (WTW, 2025). The persistent long-term trend reflects the structural pressures restricting the moderation of healthcare costs. Thus, understanding why healthcare inflation '*runs hot*' is critical in developing sustainable health and fiscal policies.

Price Rigidity and Structural Issues

Why has this trend been so persistent in the economy since the mid-20th century? One major factor is the stickiness of healthcare costs. Generally, costs such as insurance premiums are negotiated annually between service providers and users, which results in 'stickier' costs than most normal prices. For example, annual health insurance premiums in Ireland cannot be renegotiated mid-year; if the price of groceries rises, an insured individual cannot simply adjust their fixed rate to accommodate their needs. However, the stickiness of premiums does not solely affect the users of healthcare services. When general inflation accelerates, hospitals and insurers incur higher operating costs while prices or premiums remain contractually fixed, which may create delayed and concentrated price adjustments. Subsequently, profitability and financial stability may be adversely affected. Over time, the financial lags accumulate, further constraining the healthcare industry.

To compensate for prior cost pressures, healthcare providers may increase prices or renegotiate contracts above general inflation, which may reinforce the long-term upward drift in healthcare prices. Consequently, if general inflation does accelerate to the level of healthcare inflation, the cost pressures will be offset to the consumer and factored into insurance premiums. In practice, inflationary pressures are temporarily absorbed by healthcare providers before being passed onto the consumers. As reported by The Irish Examiner (2025), average consumer premiums have risen by approximately 11% since Q2 2024, far exceeding wage growth and the headline inflation rate. While providers may suffer from inflation with regard to increased operating expenses, the bottom line is that inflationary pressures are disproportionately transferred to consumers through higher prices and premiums.

Price Transparency

Despite rising premium costs, consumers continue to maintain their insurance plans due to the fundamental importance of comprehensive coverage, which demonstrates the inelastic nature of healthcare demand. Thus, healthcare services are valued as a '*need*' rather than a '*want*' when consumers are budgeting their incomes. With respect to the prices of consumer goods, most consumers can accurately report the price of a loaf of bread or a litre of milk at any given time, with little margin for error.

In direct contrast, while healthcare prices are publicly available, consumers struggle to compare, anticipate and interpret these costs. According to a survey conducted by the National Library for Medicine, approximately 73% of respondents were unaware that hospitals are required to post prices on their website, and "...that they could look up prices for common health care services" (Pathak et al., 2024). Only 19% of respondents admitted to researching prices before visiting the hospital, which highlights the crucial issue of price transparency in the healthcare sector. Consequently, a lack of transparency restricts the consumers' ability to fairly compare products and services in the industry, which may cause further inequalities in the effective delivery of care.

Regulatory and Market Challenges

The aforementioned regulations serve to protect consumers; however, they remain at a disadvantage when they cannot compare alternatives and when inflation impacts medication prices that are not explicitly disclosed. Due to institutional price inelasticity and reduced transparency, service providers may capitalise by adjusting prices of medications and services that are essential to patient welfare. In the pharmaceutical sector, patent laws and exclusivity arrangements grant providers the right to regulate their own prices, which may cause precarious situations for consumers. In 2015, the former Chief Executive of Turing Pharmaceuticals, Martin Shkreli, obtained the exclusive rights to Daraprim, which is an anti-parasitic medicine that treats blood infections. Rapidly, Shkreli increased the price of the life-saving medication from $13.50 to $750 (Sky News, 2022). Furthermore, an exclusive clause of the contract rendered competitors unable to create generic alternatives of the drug "by blocking access to a key ingredient" (Sky News, 2022). Shkreli maintained the acquisition was "capitalism at work;" nevertheless, his actions had detrimental impacts on insurance companies and ordinary consumers alike.

Conclusion Labour Market Pressures

Thus far, the burden of the blame *appears* to fall on healthcare providers, yet this is strictly not the case. Service providers are currently facing workforce challenges, which are impeding them from delivering optimal care to their customers. As reported by McKinsey & Company (2025), a global healthcare worker shortage of at least 10 million is expected by 2030, the World Health Organisation (WHO) projects a more severe deficit of approximately 18 million (Pathak et al., 2024). Furthermore, analysts predict resolving the shortage could avert 189 million years of lost life and boost the global economy by approximately $1.1 trillion (Pathak et al., 2024).

Therefore, the sector-related workforce challenges are deeply intertwined with the aforementioned inflationary pressures. As staff shortages intensify, providers are forced to compete for a shrinking pool of qualified professionals; thus, the competitive labour market has driven wage growth *well* above general inflation. In turn, the wage adjustments directly cause higher operating costs and, ultimately, higher prices for the users of healthcare services. Consequently, the persistent inflation differential between healthcare and the wider economy is not merely a function of price rigidity or market inefficiencies, but rather a reflection of the fundamental scarcity of skilled labour essential to the delivery of care.

How Providers Adapt to Rising Costs

The response of leading healthcare providers to sustained inflationary pressures has been multifaceted; demonstrating both the inelasticity of pricing structures and the growing strain on financial viability. Relatively, providers are in pursuit of operational efficiencies through technology adoption, supply-chain optimisation and data-driven resource management. Reports by McKinsey (2024) and KPMG (2023) indicate a growing reliance on automation, telehealth and strategic procurement to mitigate rising input costs and workforce shortages. Simultaneously, hospitals and insurers are planning to renegotiate reimbursement rates and improve revenue-cycle management to recover margins eroded by cost inflation.

However, such operational strategies may have distributional consequences: higher premiums and out-of-pocket costs are increasingly passed on to consumers, who already face affordability challenges in accessing care. In response, some providers have begun to introduce flexible payment plans or deferred non-essential capital projects to maintain service delivery. These adaptive measures illustrate a sector attempting to absorb inflationary shocks while balancing economic sustainability with patient access, further portraying the complex and persistent nature of healthcare's inflation problem.

Conclusion: Future of the Healthcare Sector

Despite efforts to tackle inflationary pressures, the consistent trend shows no signs of easing reversing any time soon. As per estimates by PwC analysts (2025), Group and Individual medical costs are to remain at a constant level progressing into 2026. The pre-existent factors affecting healthcare inflation since the dawn of the sector are a continuing issue to stakeholders, and likely to persist in the absence of substantial structural or policy intervention. Comparatively, the digital transformation of the healthcare industry offers an optimistic perspective to consumers, providers and workers alike; however, it will require an unprecedented event to pacify the medical inflation rate to a level equal to that of the general inflation rate.

References

• PwC. (2025). No let up in sight: 2026 medical cost trend set to grow at 8.5%. *PwC*. Available at: https://www.pwc.com/us/en/industries/health-industries/library/assets/pwc-behind-the-numbers-2026.pdf.

• Willis Towers Watson (WTW). (2025). 2026 Global Medical Trends Survey. *WTW*. Available at: https://www.wtwco.com/en-nl/insights/2025/10/2026-global-medical-trends-survey.

• Healy, A. (2025). Health insurance premiums rise 11% to an average of €1,830. *The Irish Examiner*. Available at: https://www.irishexaminer.com/business/economy/arid-41714979.html.

• Dean, A. (2023). Importance of Technology in Healthcare - UK. *Nurses Group*. Available at: https://nursesgroup.co.uk/healthcare-technology.

• Deloitte. (2025). 2025 Global Health Care Outlook (2025) Deloitte Insights. *Deloitte*. Available at: https://www.deloitte.com/us/en/insights/industry/health-care/life-sciences-and-health-care-industry-outlooks/2025-global-health-care-executive-outlook.html.

• Milliman. (2023). Medical inflation: Drivers and patterns. *Milliman*. Available at: https://www.milliman.com/en/insight/medical-inflation-drivers-and-patterns.

• Pathak, Y. and Muhlestein, D. (2024). Public Awareness and Use of Price Transparency: Report From a National Survey. *Interactive Journal of Medical Research*, 13, p.e64439. Available at: doi:https://doi.org/10.2196/64439.

• Sky News. (2022). Martin Shkreli: Man who made huge profits by inflating price of life-saving drug ordered to return £47m. *Sky News*. Available at: https://news.sky.com/story/martin-shkreli-man-who-made-huge-profits-by-inflating-price-of-life-savingdrug-ordered-to-return-47m-12516161.

• Singhal, S. and Ungerman, D. (2024) How the healthcare industry can weather ongoing challenges. *McKinsey & Company*. Available at: https://www.mckinsey.com/industries/healthcare/our-insights/how-the-healthcare-industry-can-weather-ongoing-challenges.

• KPMG. (2023). Rising inflation impacts on the healthcare supply chain. *KPMG*. Available at: https://kpmg.com/us/en/articles/2023/rising-inflation-impacts-healthcare-supply-chain.html.

• KPMG. (2025). The impacts of rising inflation on healthcare supply chain operations. *KPMG*. Available at: https://kpmg.com/kpmg-us/content/dam/kpmg/pdf/2023/the-impacts-of-inflation.pdf.

• Kumar, P., Holt, T. and Wong, Y. (2025) Heartbeat of health: Reimagining the healthcare workforce of the future. *McKinsey & Company*. Available at: https://www.mckinsey.com/mhi/our-insights/heartbeat-of-health-reimagining-the-healthcare-workforce-of-the-future.